



SUMMARY REPORT

Agenda Date: 10/8/2019

To: Sonoma County Board of Supervisors

Department or Agency Name(s): County Administrator's Office, Sheriff's Office, Probation, Health Services, Human Services

Staff Name and Phone Number: Nikolas Klein, 565-5312; Connie Newton, 565-8884

Vote Requirement: Majority

Supervisory District(s): Countywide

Title:

Agreement for FY 2019-20 Medi-Cal County Inmate Program

Recommended Action:

Authorize the County Administrator to sign an agreement with the State Department of Healthcare Services for the Medi-Cal County Inmate Program for July 1, 2019 - June 30, 2020 for \$304,613.30. Approval of this agreement allows the County to continue participating in the Medi-Cal County Inmate Program and receive federal funding to cover a share of inpatient medical care costs for eligible inmates in the County's detention facilities, which reduces the cost burden on the General Fund. Under this agreement, the County will reimburse the State for the non-federal share of Medi-Cal claims up to a maximum of \$300,000, as well as \$4,613.30 to cover program administration costs.

Executive Summary:

Approval of this Agreement will allow Sonoma County to participate in the recently created Medi-Cal County Inmate Program ("Program") to utilize Federal funding from Medi-Cal to cover the Federal share of inpatient medical care costs for inmates who are eligible for Medi-Cal from July 1, 2019 through June 30, 2020. Through this Program, the State will pay approved claims directly to the hospital providing the services. In the event the State pays for any costs not covered by federal funding, the Agreement requires the County to reimburse State for the non-federal share of these claims, up to maximum of \$300,000 for the 12-month period. The Agreement also includes State administrative costs of \$4,613.30. This Program will cover both adult and juvenile offenders in the custody of the County.

Discussion:

Historically, the County General Fund has borne the full cost of medical care for individuals incarcerated in either the County's adult or juvenile facilities. The approval of three different pieces of legislation created what is now collectively known as the Medi-Cal County Inmate Program (MCIP). AB 1628 in 2010 established the Adult County Inmate Program; SB 695 in 2011 established the Juvenile County Ward Program; and SB 1462 in 2012 established the County Compassionate Release Program. Since the approval of these laws, the State Department of Health Care Services has worked to establish the administrative oversight to implement these programs, which allow the claiming of the Federal share of Medi-Cal funds for inpatient hospitalizations for these specific populations.

Until the new Program was created in 2016, the County used General Fund to pay for all inmate medical care

costs. Services are currently provided in the adult detention facilities through a contract with Wellpath (formerly California Forensic Medical Group), and in the juvenile facilities through a contract with the County Department of Health Services. Under the Wellpath contract, the County is responsible for any adult inmate healthcare costs in excess of \$20,000 per hospitalization. With the implementation of this program in April 2016, the providing hospitals now directly bill Medi-Cal for services provided to eligible inmates, and Medi-Cal pays the provider at the approved rate. On a quarterly basis, the State Department of Health Care Services bills the County for the non-federal share of these claims (either 5% or 50%, depending on the eligibility of the individual).

The County began participating in this new Program in April 2016. There were system issues at the State level that delayed the issuance of payments until November 2017. The implementation of MCIP in the adult detention facilities requires intensive, ongoing coordination between Wellpath staff, an enrollment counselor (currently contracted through Redwood Community Health Coalition), the hospitals, the County's Human Services Department (responsible for submitting Medi-Cal applications to the State), and the State Department of Healthcare Services. The Wellpath agreement has been amended to ensure that the agreement complies with the regulations of the Program. A subsequent amendment to the County's Agreement with Wellpath was executed in May 2019 to allow the County to be reimbursed for 85% of the savings Wellpath is experiencing from the Program. Wellpath retains the remaining 15% of savings to cover its administrative costs related to participating in the MCIP. Based on actual costs during the first two quarters of FY 18-19 per the State's reported data, the County will receive a \$106,000 reimbursement from Wellpath as a result of this negotiated arrangement. Going forward, Wellpath will continue to reimburse the County for 85% of cost savings realized as a result of participating in the Program, which will be a variable amount based on activity.

In FY 18-19, the County's costs to participate in this Program included State Department of Healthcare Services administrative fees (\$4,545), and the cost of the Redwood Community Health Coalition contract (\$37,756). In FY 17-18, the Program was still in its implementation phase; therefore, actual costs were not reflective of current activity. The Sheriff's Office, Probation, and Human Services Department are absorbing the workload related to MCIP. Since inception, the County's participation in the Program has resulted in Medi-Cal paying for approximately \$70,000 of eligible charges in FY 17-18 and \$170,000 of charges during the first six months of FY 18-19. Data for the remaining quarters of FY 18-19 are not yet available. For FY 19-20, the General Fund savings realized from MCIP will be used to fund the Redwood Community Health Coalition's enrollment counselor services (estimate of \$41,000), and MCIP State administrative fees (\$4,613). Staff recommends entering into this Agreement for FY 19-20 to allow for continued participation and evaluation of the Program.

Prior Board Actions:

6/12/18- Board approved Medi-Cal County Inmate Program for the period July 1, 2018 - June 30, 2019.

2/7/17- Board approved Medi-Cal County Inmate Program for the period April 1, 2016 - June 30, 2018.

FISCAL SUMMARY

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses	304,613		
Additional Appropriation Requested			

Total Expenditures	304,613		
Funding Sources			
General Fund/WA GF	304,613		
State/Federal			
Fees/Other			
Use of Fund Balance			
Contingencies			
Total Sources	304,613		

Narrative Explanation of Fiscal Impacts:

The costs associated with this agreement are currently included in the Sheriff's Office FY 19-20 adopted budget for inmate medical services. The County's costs to participate in this Program include State Department of Healthcare Services administrative fees (\$4,613). The reimbursement for the non-federal share of Medi-Cal claims (up to \$300,000) is not an additional cost to the County, as the County would have otherwise paid these costs directly to providers. The cost of the Redwood Community Health Coalition contract (\$41,000) is part of the Sheriff's overall program cost and already included in its FY 19-20 adopted budget; however, this service contract cost is separate from this MCIP agreement with DHCS. The County will potentially have reduced costs as a result of this agreement, but the value of these savings is variable and will fluctuate over time.

Staffing Impacts:			
Position Title (Payroll Classification)	Monthly Salary Range (A-I Step)	Additions (Number)	Deletions (Number)

Narrative Explanation of Staffing Impacts (If Required):

N/A

Attachments:

Medi-Cal County Inmate Program Agreement for FY 2019-20

Related Items "On File" with the Clerk of the Board:

N/A